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the quantum of *all* the factors becomes variable. There are no fixed factors here. Therefore, there is a possibility for larger changes in supply. The price of the product cannot be as high as in the case of short run.

iv. ***Very long period market (or a Secular Period Market)***

It occurs when the entire economy undergoes a drastic change. Newer technologies are introduced and most modern products are produced. Several newer methods of production are adopted in the production process, with improvements taking place in technology. For example, the entry of pen-drive has driven out compact disc (CD); as CD has replaced floppies which once replaced tape cassettes.

5.3.3 On the Basis of Quantity of the Commodity

i. *Whole-sale market* is for bulk selling and buying of goods (Clothing, Grocery etc.). The price is likely to be low compared to retail market.

ii. *Retail market* is for selling or buying of commodities in small quantities (Clothing, Vegetable etc).

5.3.4 On the Basis of Competition

i. *Perfect competition market*

ii. *Imperfect competition market* which comprises monopoly market, monopolistic competition market, duopoly market, oligopoly market etc.

Firm and Industry

Firm: A firm refers to a single production unit in an industry, producing a large or a small quantum of a commodity or service, and selling it at a price in the market. Its main objective is to earn a profit. There may be other objectives as described by managerial and behavioral theories of the firm.

Industry: An industry refers to a group of firms producing the same product or service in an economy. For example, a group of firms producing cement is called a cement industry.

5.4 Equilibrium Conditions for a Firm

Equilibrium of the firm means that the firm reaches the maximum profit. Now, there are two approaches (TC = TR) for calculating the maximum profits

i. Total curve approach; and, ii. Marginal curve approach (MC = MR)

5.4.1 Total curve approach

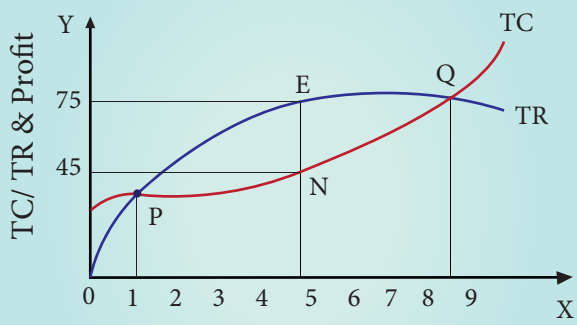


Diagram 5.1